Global Markets Research
14 May 2026

Japan banking sector monthly: May 2026

EQUITY: JAPAN BANKS

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Bank stocks seesawing on speculation about BOJ monetary policy

Bank stocks underperformed the TOPIX by 1.7ppt over the past month

Investment perspective

Bank stocks recovered somewhat from the second half of March through mid-April as equity markets priced in a temporary easing of the situation in the Middle East and expectations were rekindled for a BOJ rate hike in April. However, bank stocks fell through late April even as AI-related stocks rose globally, as expectations for a rate hike at the April monetary policy meeting receded from mid-month following comments by Minister of Finance Satsuki Katayama on 15 April that the BOJ would take a wait-and-see stance in view of the negative impact of the situation in the Middle East, and a report in the *Nikkei* on 21 April that the BOJ was increasingly likely to leave its policy rate unchanged at 0.75% at its monetary policy meeting on 27–28 April. Bank stocks then outperformed the TOPIX through mid-May, partly because of reports that three policy board members had opposed leaving the policy rate unchanged at the monetary policy meeting and because of somewhat hawkish wording in the Outlook Report. JGB yields have been on an essentially constant upward trajectory over the past month, but bank stocks seesawed on expectations for BOJ rate hikes and underperformed the TOPIX by 1.7ppt over the past month.

26/3 results announcements (still in progress): Lending market in Japan

Our first impression of the 26/3 results at major and regional banks released thus far (through 13 May) is that they have been slightly stronger than we had expected. Many banks made progress in improving the health of their balance sheets (including unrealized gains on securities) in 26/3 despite rising interest rates. At the same time, we also see widening disparities among banks in terms of securities portfolio management skills. Our first impression is that guidance for 27/3 is more bullish than in the past in terms of both profit growth and divergence from market consensus forecasts. Loan–deposit operations in Japan have also been performing better than expected. These businesses have been supported not only by an improvement in loan–deposit spreads but also by strong growth in loans outstanding in Japan, particularly in the corporate sector (*Figure 10* , *Figure 14*). In structural terms, capex-related lending has been firm. We attribute this to several factors, including solid capex at large companies backed by favorable economic sentiment, DX- and GX-related investment, geopolitical factors (supply chain shifts), borrowings for improvement in corporate value (including LBOs, MBOs, and M&A), and investment in measures to cope with labor shortages. Many bank executives appear to expect these structural funding needs to remain in place for the time being. Recently this has also been compounded by cyclical factors. As during previous periods of financial market turmoil (such as the global financial crisis and the COVID-19 pandemic), more companies have been building up their liquidity on hand (working capital borrowings) in response to the situation in the MIddle East, and it looks as though their usage of commitment lines has also risen both in terms of value and of usage rates (*Figure 37*).

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Bank sector stock valuations, share prices, performance indicators, and CDS spreads

Fig. 1: Valuations

2026/5/13

Code	Company	Rating	Share price 26/5/13 (¥)	Market cap (¥bn)	Fair value: Target price (¥)	Fair value: DCF (¥)	Fair value: Relative P/E (¥)	Dividend yield 25/3 (%)	DPS 25/3 (¥)	P/E 26/3E (x)	P/E 27/3E (x)	P/B 25/3 (x)	ROE 26/3E (%)	ROE 27/3E (%)
8306	Mitsubishi UFJ Financial Group	Buy	2,926.5	34,730.9	3,100	3,159	2,948	2.19	64.0	15.7	12.6	1.64	10.2	11.9
8308	Resona Holdings	Neutral	2,061.5	4,756.2	1,650	1,819	1,511	1.21	25.0	19.5	18.0	1.73	8.6	8.8
8309	Sumitomo Mitsui Trust Group	Buy	5,660	3,955.3	5,700	6,634	4,840	2.74	155.0	13.9	12.3	1.30	9.1	9.7
8316	Sumitomo Mitsui Financial Group	Buy	5,852	22,398.5	6,500	6,645	6,425	2.08	122.0	14.2	11.6	1.54	10.6	12.1
8411	Mizuho Financial Group	Buy	7,050	17,222.0	7,200	7,252	7,048	1.99	140.0	15.0	12.4	1.69	10.9	12.2
7182	Japan Post Bank	Neutral	2,849.0	10,187.7	2,850	N/A	N/A	2.04	58.0	20.4	13.9	1.13	5.5	7.8

Note: (1) Estimates are by Nomura. (2) P/B ratios are based on common stock, while P/E ratios are based on EPS diluted for private-sector held preferred shares. (3) ROE includes preferred shares, etc

Source: Company data, Nomura estimates

Fig. 2: Bank share price performance

2026/5/13

Code	Company	Absolute return 1M	Absolute return 3M	Absolute return 6M	Absolute return 12M	Excess return (vs TOPIX) 1M	Excess return (vs TOPIX) 3M	Excess return (vs TOPIX) 6M	Excess return (vs TOPIX) 12M	Excess return (vs TOPIX banks) 1M	Excess return (vs TOPIX banks) 3M	Excess return (vs TOPIX banks) 6M	Excess return (vs TOPIX banks) 12M
8306	Mitsubishi UFJ Financial Group	2.3%	-2.5%	19.4%	53.4%	-3.0%	-5.2%	3.5%	12.0%	-1.2%	1.0%	-11.6%	-15.2%
8316	Sumitomo Mitsui Financial Group	4.9%	-3.5%	35.1%	64.5%	-0.3%	-6.1%	19.2%	23.1%	1.4%	0.1%	4.0%	-4.1%
8411	Mizuho Financial Group	4.7%	-8.2%	32.7%	86.3%	-0.6%	-10.9%	16.8%	44.9%	1.1%	-4.6%	1.6%	17.7%
8304	Aozora Bank	-2.1%	-6.0%	16.0%	33.2%	-7.4%	-8.7%	0.1%	-8.2%	-5.7%	-2.4%	-15.1%	-35.4%
8308	Resona Holdings	9.6%	-3.8%	30.8%	72.9%	4.3%	-6.4%	14.9%	31.5%	6.0%	-0.2%	-0.3%	4.3%
8309	Sumitomo Mitsui Trust Group	5.9%	-1.4%	28.6%	57.0%	0.6%	-4.0%	12.7%	15.7%	2.3%	2.2%	-2.5%	-11.6%
7182	Japan Post Bank	4.5%	-7.9%	60.7%	89.8%	-0.8%	-10.6%	44.8%	48.4%	0.9%	-4.3%	29.6%	21.2%
7186	Yokohama Financial Group	5.5%	-3.7%	39.9%	71.3%	0.3%	-6.4%	24.0%	29.9%	2.0%	-0.2%	8.8%	2.7%
8331	Chiba Bank	2.7%	-5.2%	46.8%	74.0%	-2.6%	-7.9%	30.9%	32.6%	-0.9%	-1.6%	15.7%	5.4%
5831	Shizuoka Financial Group	1.7%	-5.0%	35.6%	83.2%	-3.6%	-7.7%	19.7%	41.9%	-1.9%	-1.4%	4.5%	14.6%
8354	Fukuoka Financial Group	2.9%	-5.6%	49.4%	66.2%	-2.4%	-8.2%	33.5%	24.9%	-0.7%	-2.0%	18.3%	-2.4%
	TOPIX bank	3.6%	-3.6%	31.1%	68.6%	-1.7%	-6.2%	15.2%	27.2%	-	-	-	-
	TOPIX	5.3%	2.6%	15.9%	41.4%	-	-	-	-	-	-	-	-

Outperforming TOPIX by 15% or more

Underperforming TOPIX by15% or more

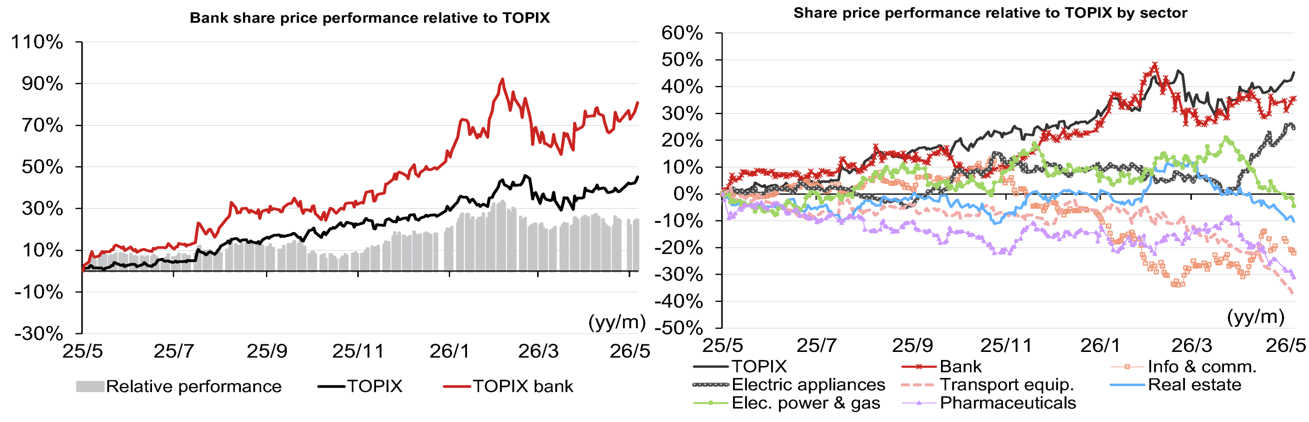
Outperforming TOPIX banks by 10% or more

Underperforming TOPIX banks by 10% or more

Source: Nomura, based on company data

Fig. 3: Share price performance relative to TOPIX

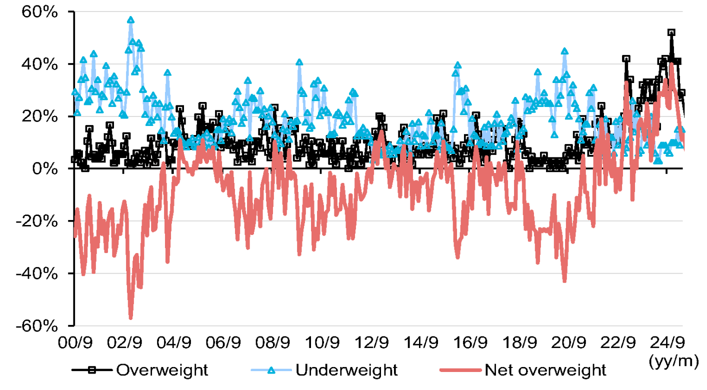
2026/5/13



Source: Nomura, based on company data

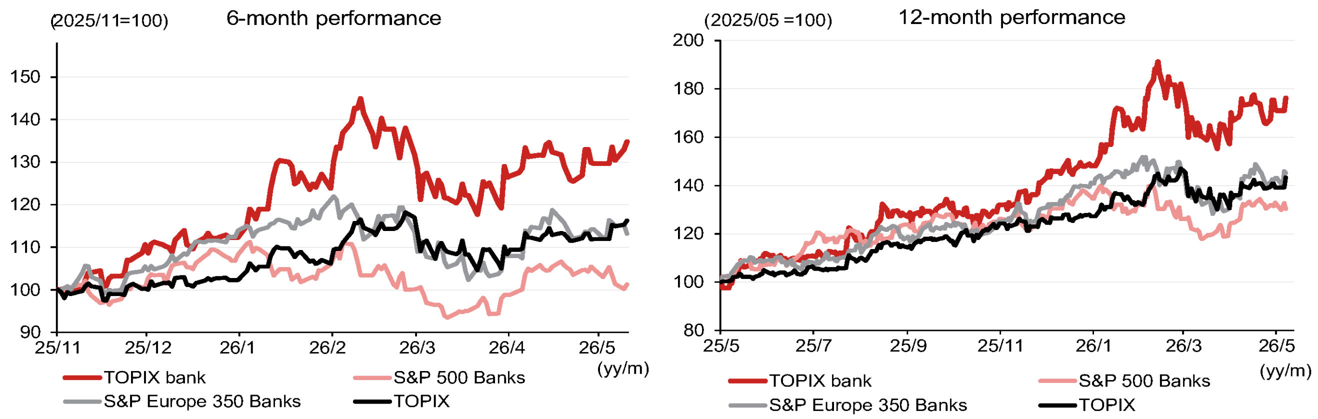
Fig. 4: Investment stance on Japanese financial stocks

QUICK survey



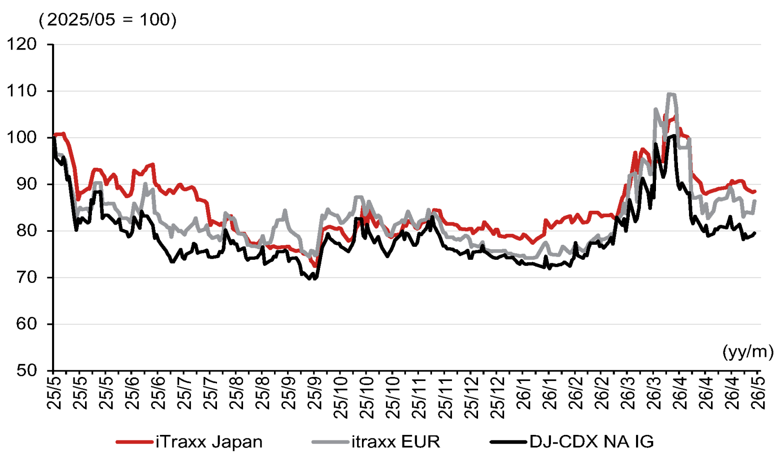
Source: Nomura, based on QUICK data

Fig. 5: Japanese, US, and European bank stocks



Source: Nomura, based on Bloomberg data

Fig. 6: Japanese, US, and European CDS index spreads

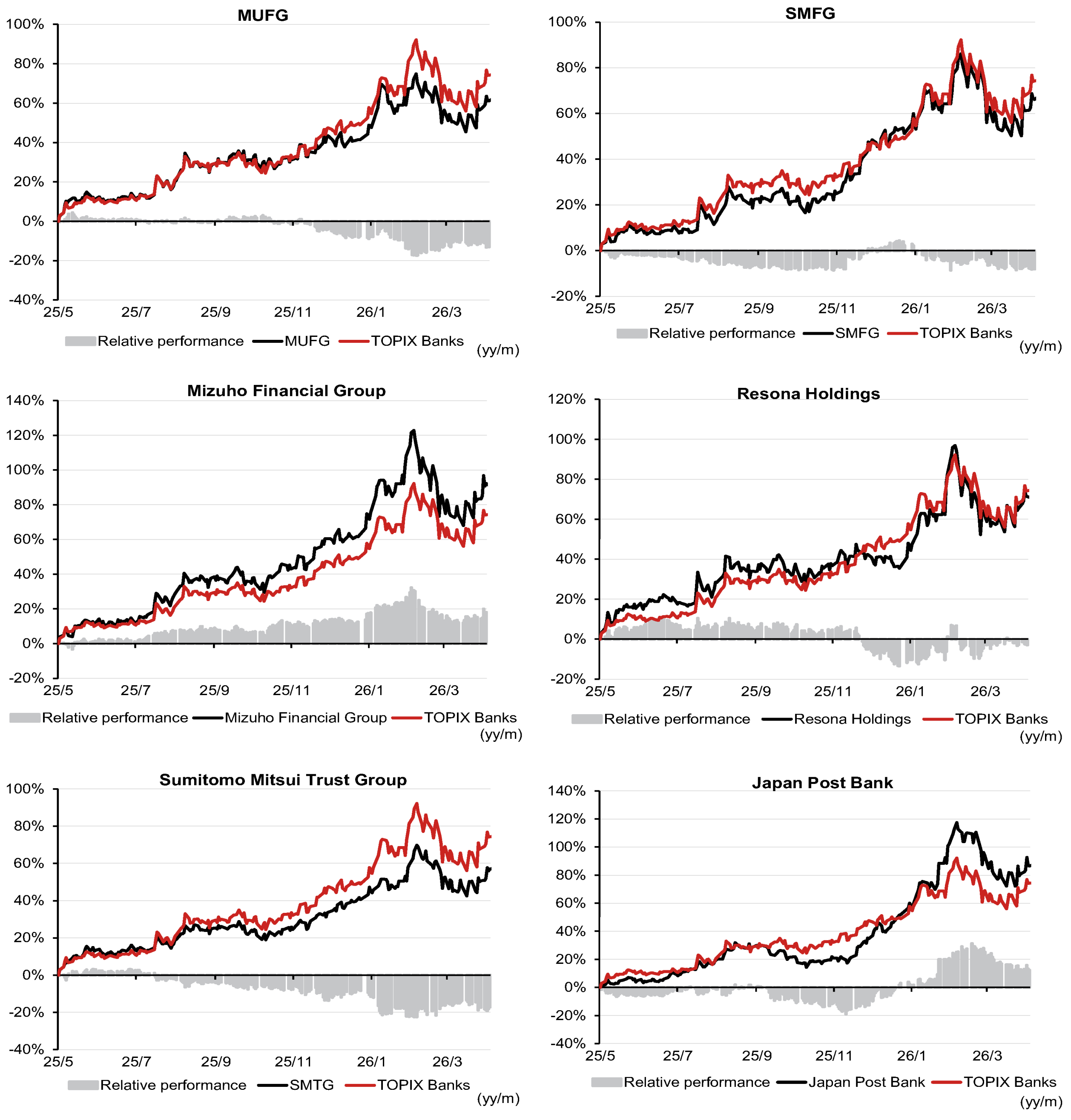


Source: Nomura, based on Bloomberg data

Major bank and major regional bank share price performance

Fig. 7: Relative performance vs bank sector

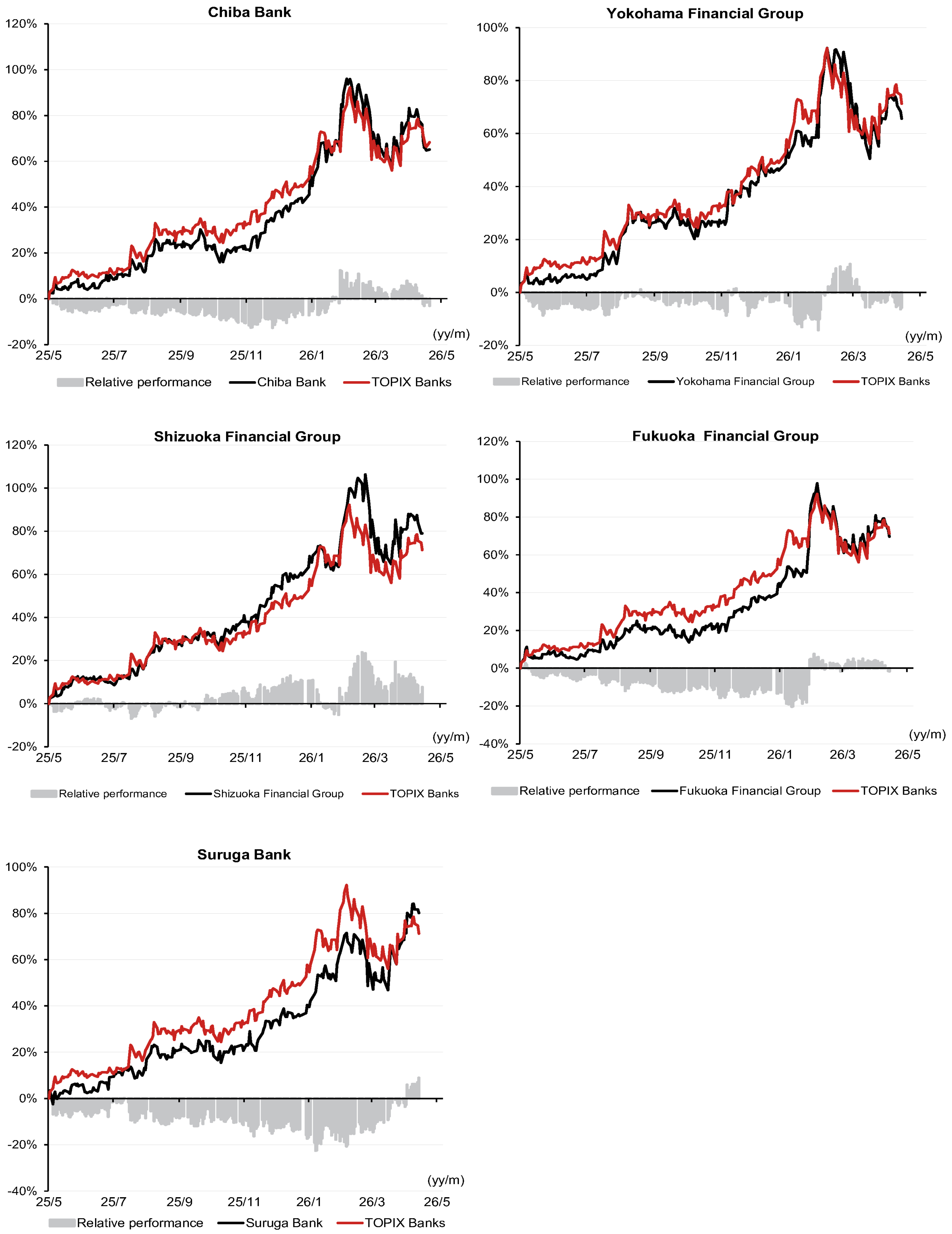
2026/5/13



Source: Nomura, based on company data

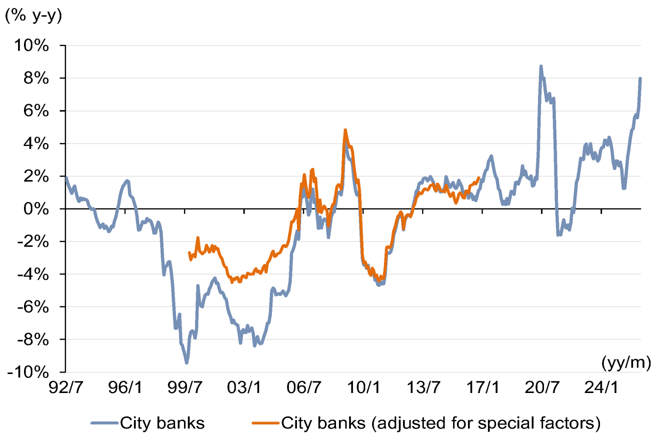
Fig. 8: Relative performance vs bank sector (regional banks)

2026/5/13



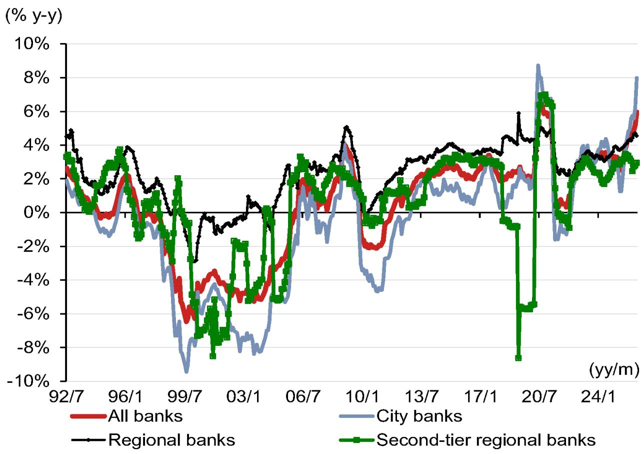
Source: Nomura, based on company data

Fig. 9: Growth in loans outstanding at city banks (y-y)



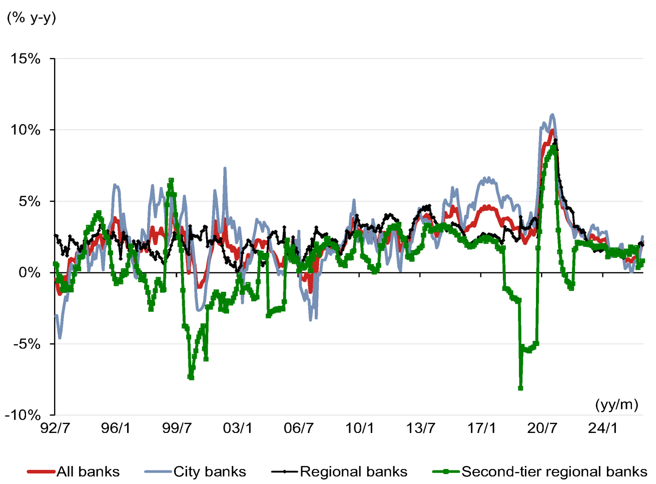
Note: "Adjusted for special factors" figures run through April 2013.
Source: Nomura, based on BOJ data

Fig. 10: Growth in lending by bank type - (1)



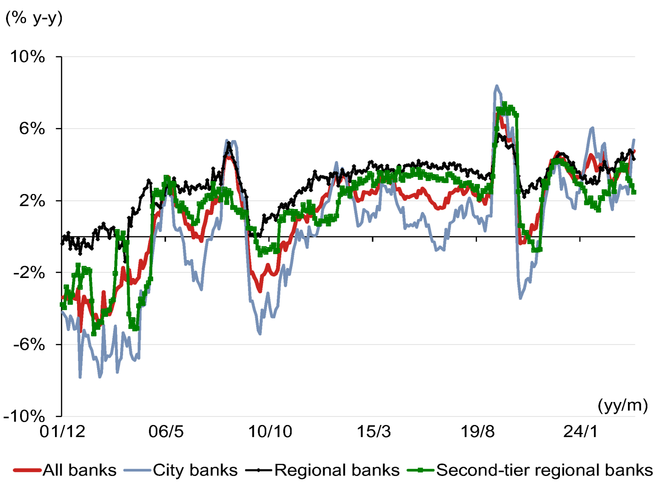
Source: Nomura, based on BOJ data

Fig. 11: Growth in real deposits and CDs by bank type



Source: Nomura, based on BOJ data

Fig. 12: Growth in lending by bank type - (2)

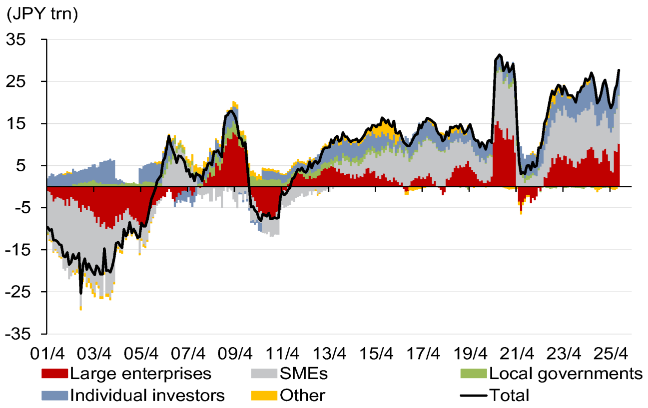


Note: Data up to November 2002 calculated from y-y figures. Differences with BOJ data are that figures (1) do not include trust accounts, (2) include lending to financial institutions, and (3) include lending to the central government. In our view, Japanese Bankers Association (JBA) statistics indicate fairly accurately changes in lending on bank balance sheets, while BOJ statistics reflect actual changes in the private-sector lending market more closely. (4) With the launch of Kiraboshi Bank, from May 2018 onward y-y comparisons have been adjusted to subtract out the former ShinGinko Tokyo from "all banks", the former Yachiyo Bank and the former ShinGinko Tokyo from "regional banks", and the former Yachiyo Bank from "second-tier regional banks".
Source: Nomura, based on JBA data

Loans and discounts outstanding by sector (BOJ statistics)

Fig. 13: Lending by borrower type

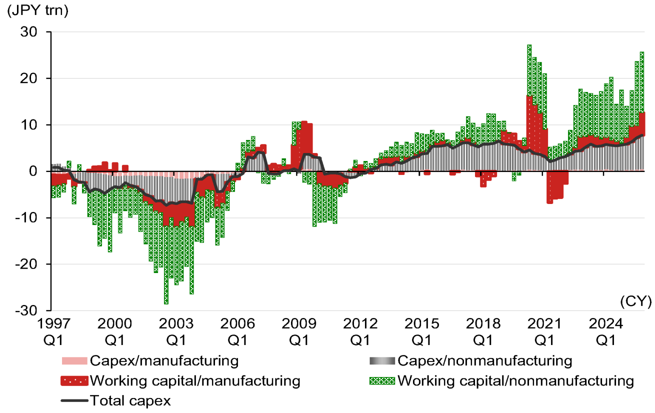
y-y



Source: Nomura, based on BOJ data

Fig. 14: Change in loans outstanding by purpose of funds

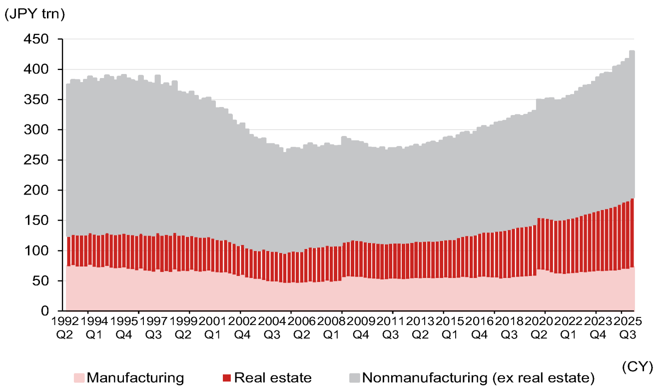
y-y



Source: Nomura, based on BOJ data

Fig. 15: Loans outstanding to corporations

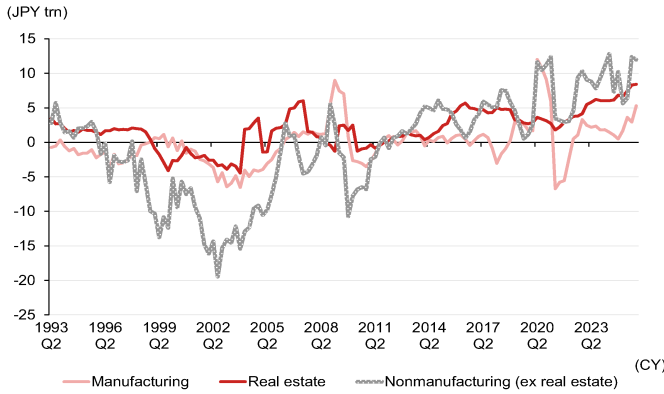
y-y



Source: Nomura, based on BOJ data

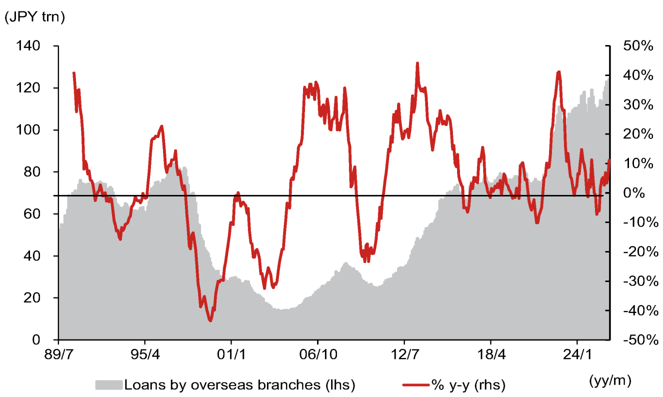
Fig. 16: Change in loans outstanding to corporations

y-y



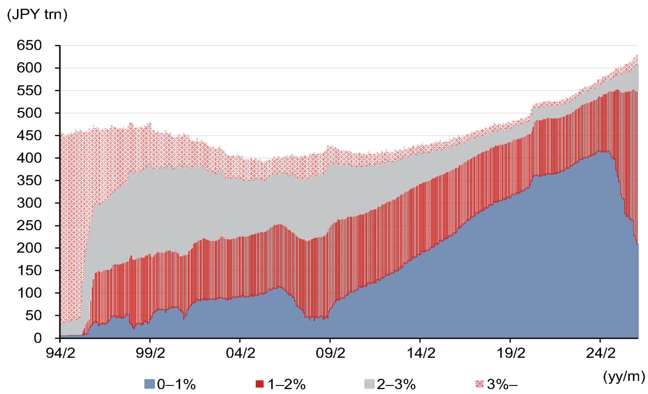
Source: Nomura, based on BOJ data

Fig. 17: Loans outstanding at overseas branches



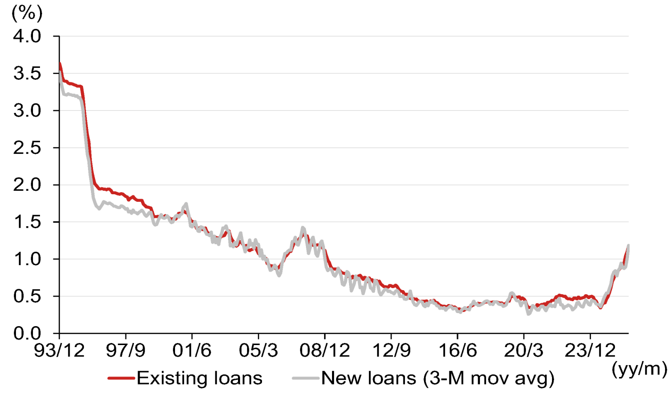
Source: Nomura, based on BOJ data

Fig. 18: Loans outstanding by interest rate



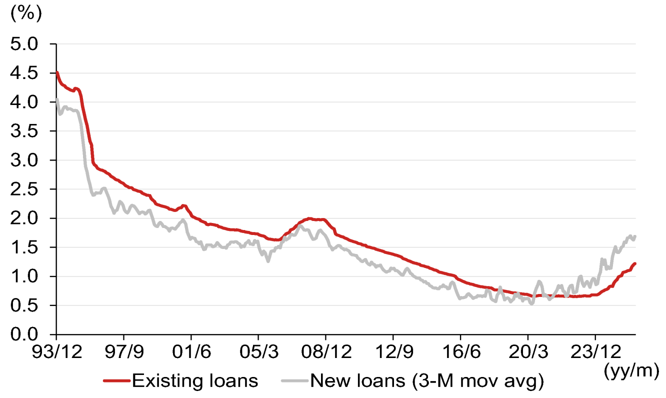
Source: Nomura, based on BOJ data

Fig. 19: City banks: average contracted interest rates on short-term loans



Source: Nomura, based on BOJ data

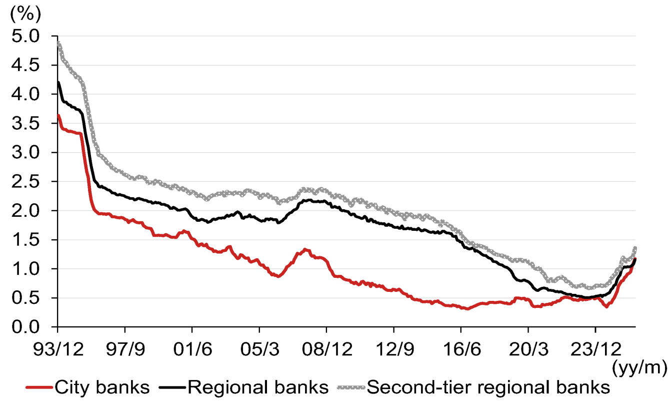
Fig. 20: City banks: average contracted interest rates on long-term loans



Source: Nomura, based on BOJ data

Fig. 21: Average contracted interest rates on loans by type of bank

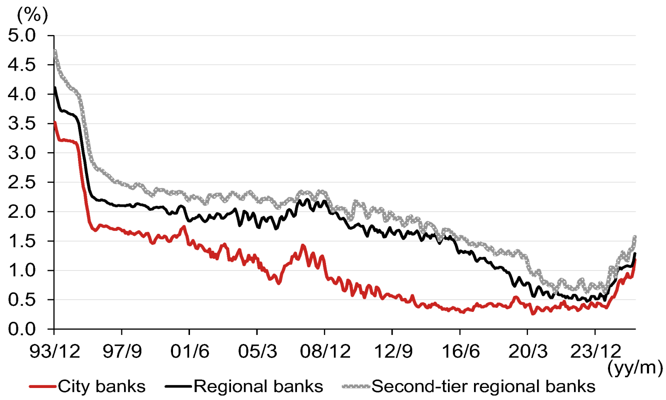
Existing, short-term



Source: Nomura, based on BOJ data

Fig. 22: Average contracted interest rates on loans by type of bank

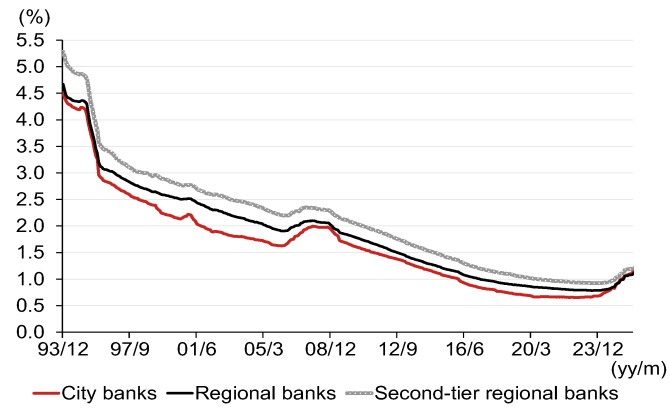
New, short-term



Source: Nomura, based on BOJ data

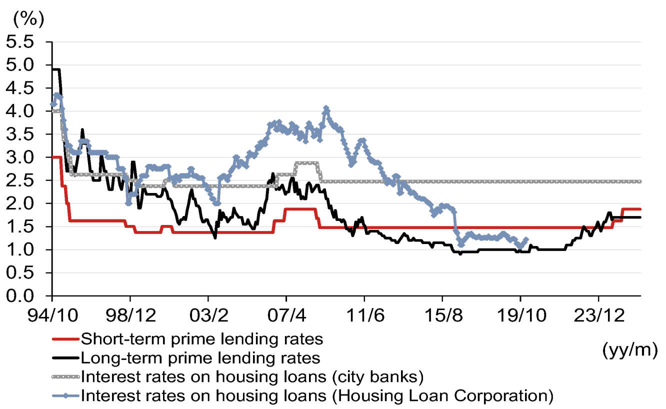
Fig. 23: Average contracted interest rates on loans by type of bank

Existing, long-term



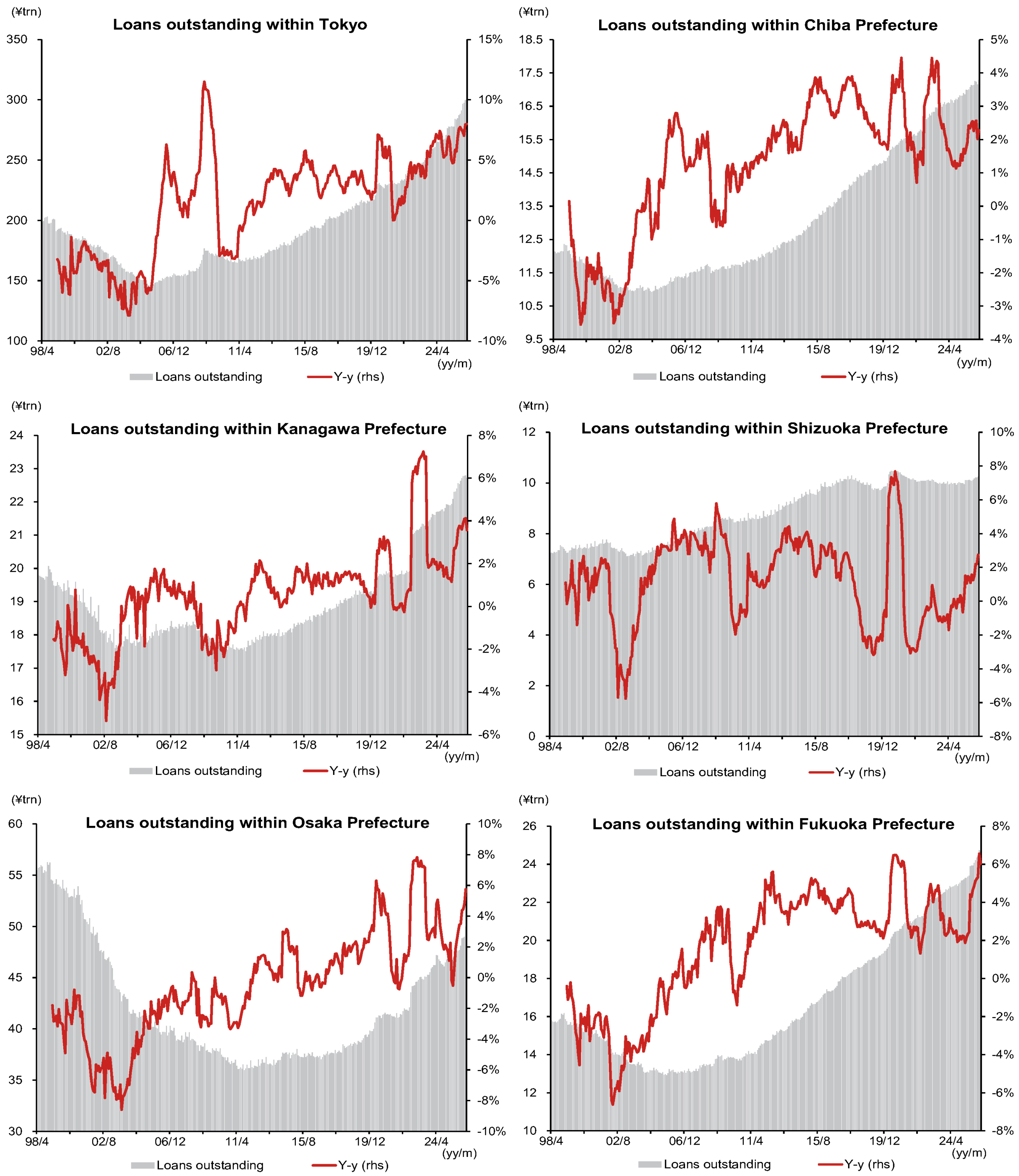
Source: Nomura, based on BOJ data

Fig. 24: Short- and long-term prime lending rates and home loan interest rates



Note: City bank home loan interest rate based on new variable rates. Disclosure of data on home loan rates by the Housing Loan Corporation runs through February 2020.
Source: Nomura, based on BOJ data

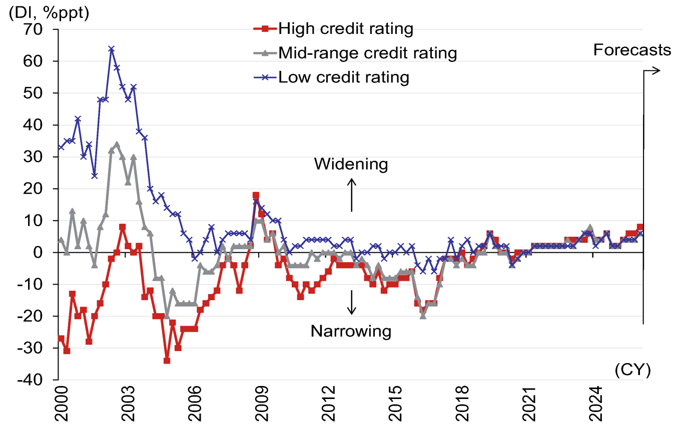
Fig. 25: Lending by prefecture



Source: Nomura, based on BOJ data

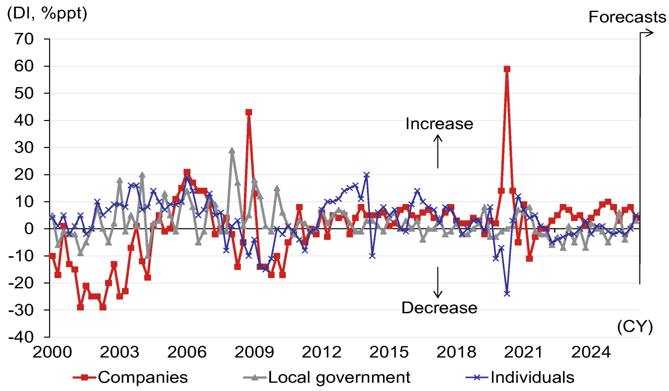
Senior Loan Officer Opinion Survey on Bank Lending Practices at Large Japanese Banks (BOJ statistics)

Fig. 26: Spreads of loan rates over bank cost of funds DI



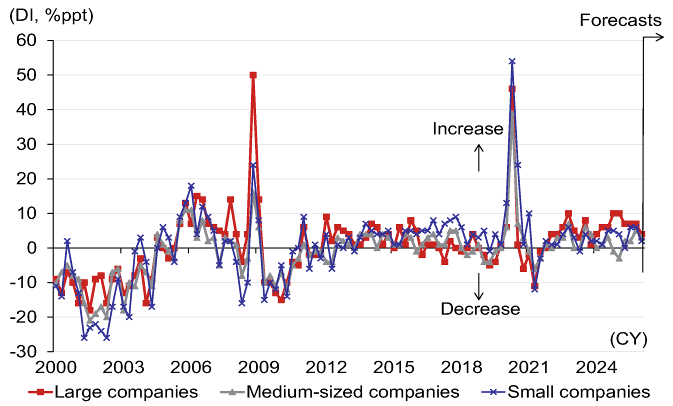
Source: Nomura, based on BOJ data

Fig. 27: Demand for loans from borrowers DI—by borrower type



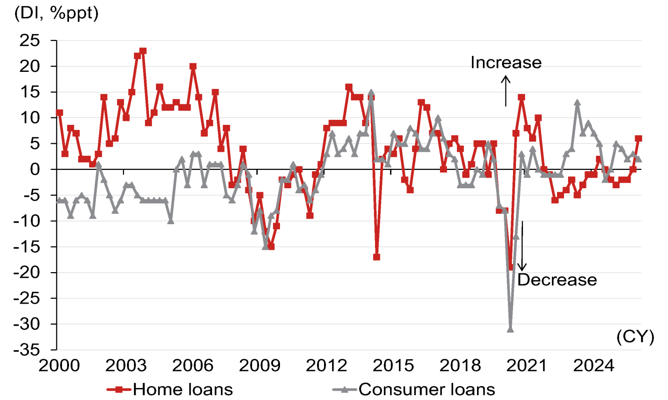
Source: Nomura, based on BOJ data

Fig. 28: Demand for loans from companies DI—by company size



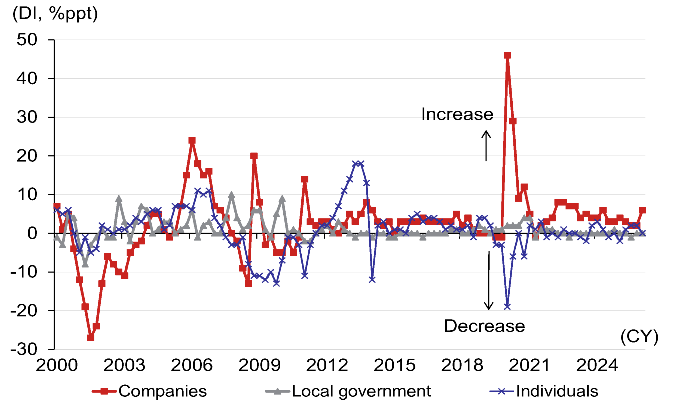
Source: Nomura, based on BOJ data

Fig. 29: Demand for loans from households DI—by loan type



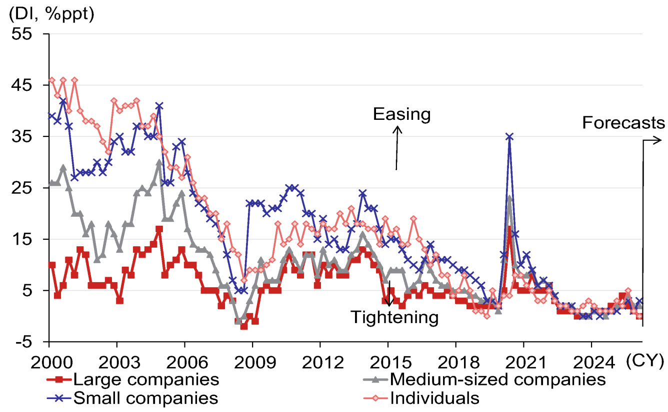
Source: Nomura, based on BOJ data

Fig. 30: Demand for loans forecast DI



Source: Nomura, based on BOJ data

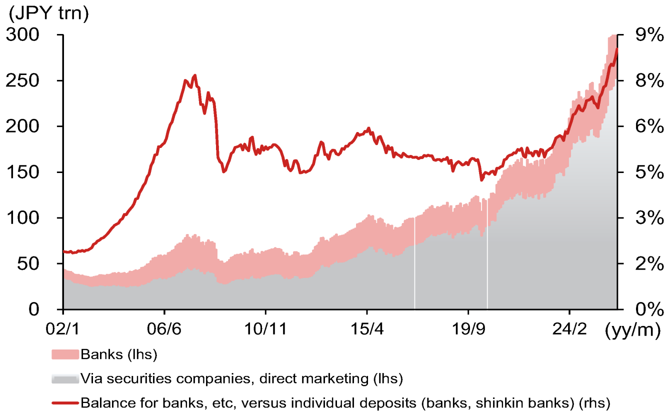
Fig. 31: Credit standards for approving applications for loans DI—by companies and households



Source: Nomura, based on BOJ data

Investment trust balance, loans syndicated, commitment lines

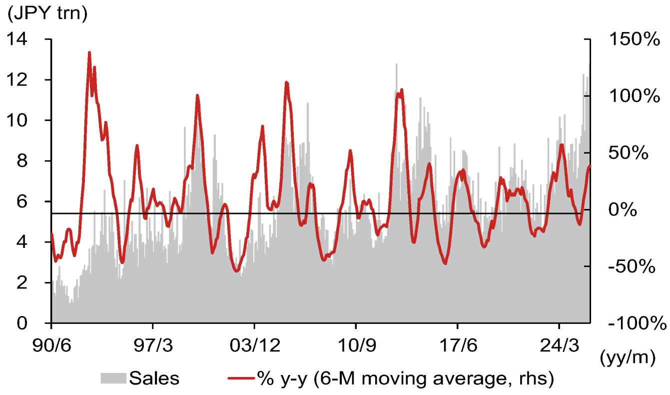
Fig. 32: Investment trust asset balance



Note: "Banks" excludes the value of investment trusts sold by Japan Post as a public entity through April 2008.

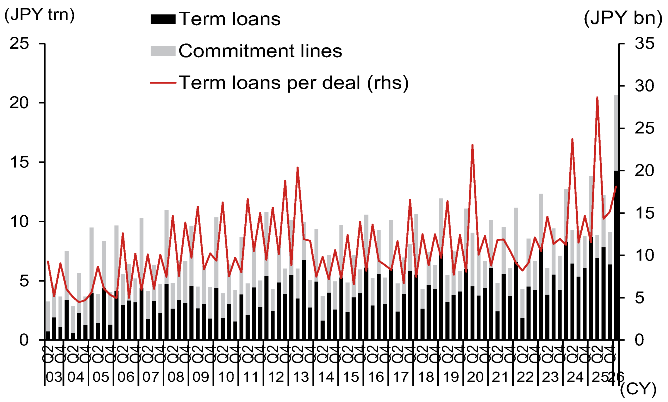
Source: Nomura, based on the Investment Trusts Association and BOJ data

Fig. 33: Sales of publicly offered contractual-type investment trusts



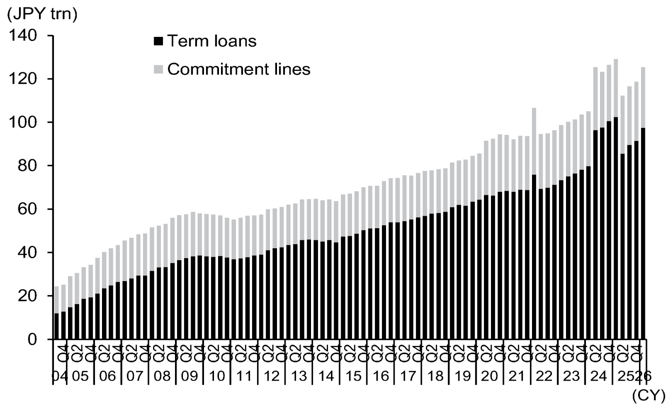
Source: Nomura, based on The Investment Trusts Association data

Fig. 34: Loans syndicated



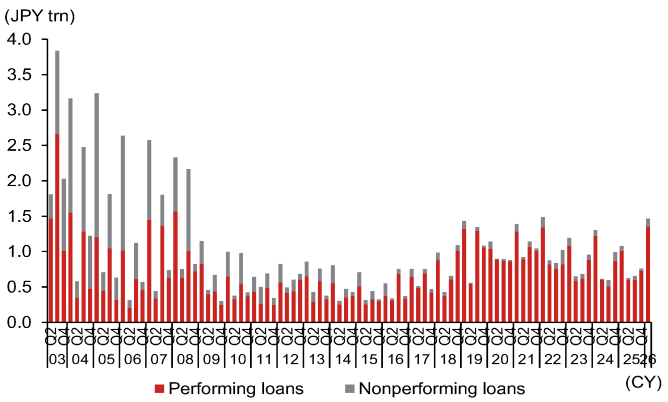
Source: Nomura, based on JBA data

Fig. 35: Term-end balance of loans syndicated



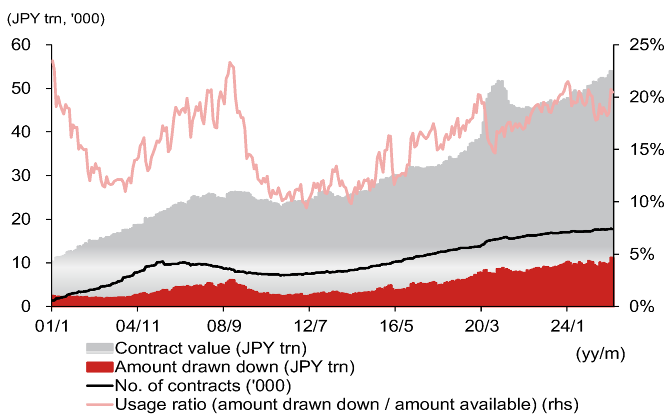
Source: Nomura, based on JBA data

Fig. 36: Loans transferred



Source: Nomura, based on JBA data

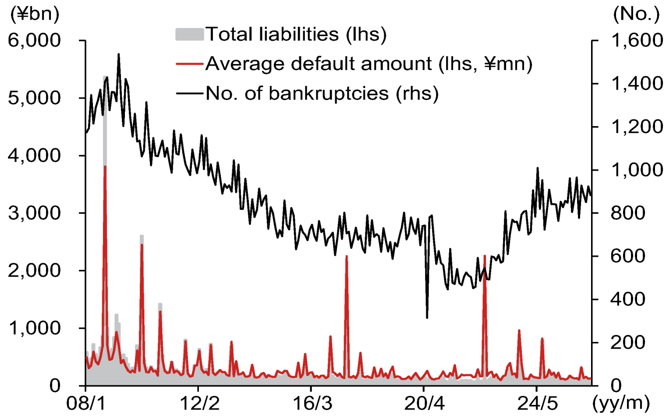
Fig. 37: Commitment line data



Source: Nomura, based on BOJ data

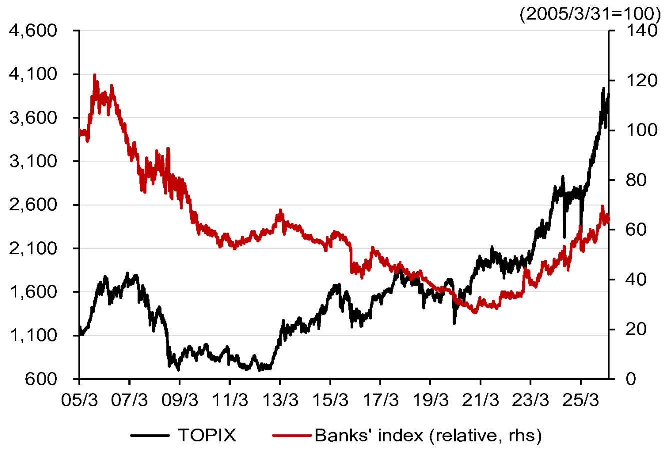
Corporate bankruptcies, interest rates, share prices, macro indicators

Fig. 38: Corporate bankruptcies



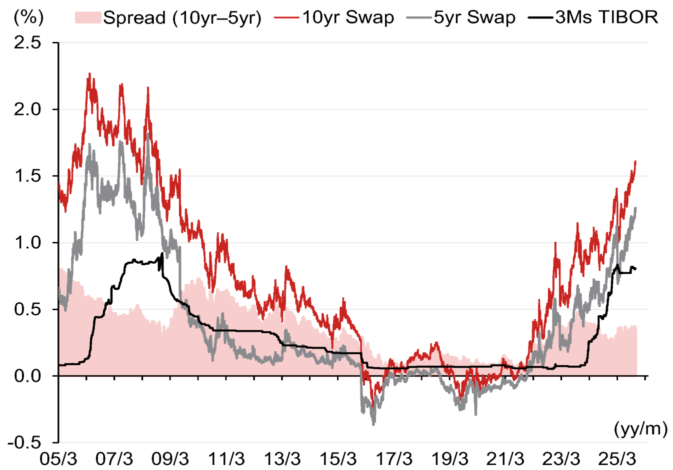
Source: Nomura, based on Tokyo Shoko Research data

Fig. 39: Share prices



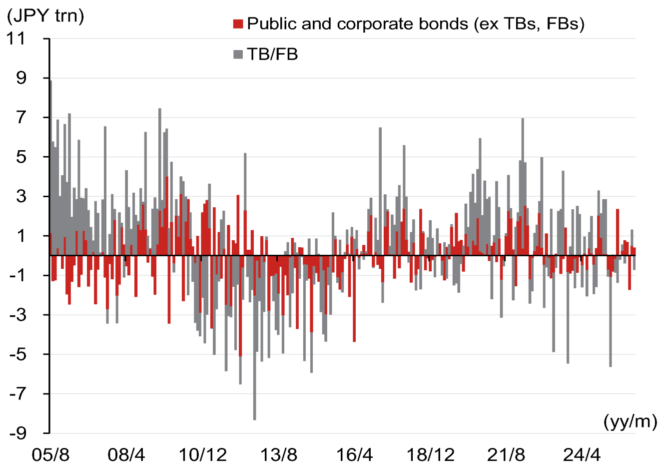
Source: Nomura, based on company data

Fig. 40: Yen interest rates



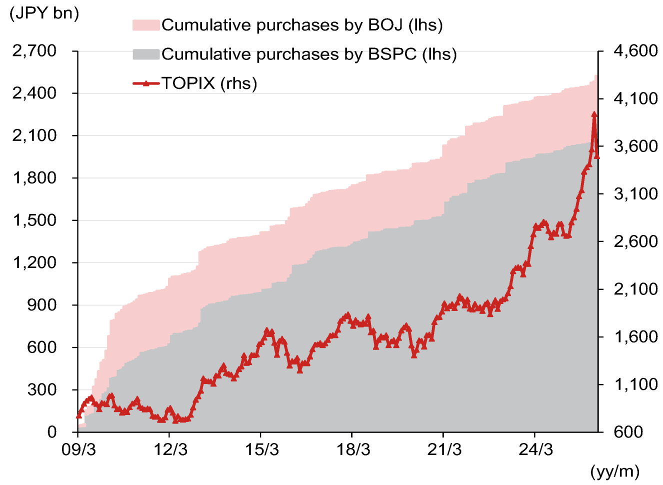
Source: Nomura, based on company data

Fig. 41: Bond transactions at city banks



Source: Nomura, based on Japan Securities Dealers Association (JSDA) data

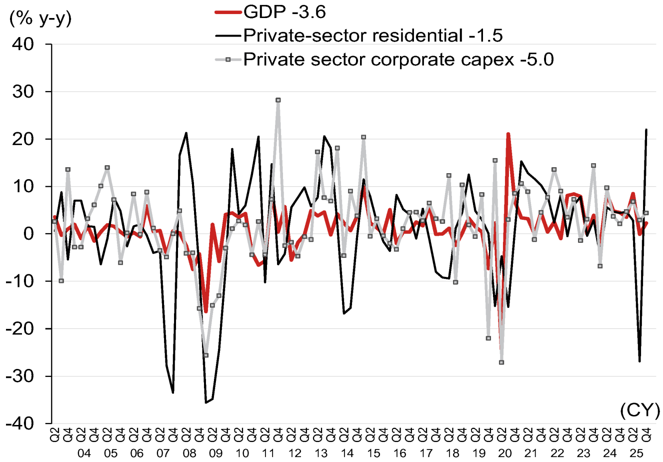
Fig. 42: Bank shareholding purchases



Note: BOJ purchases finished at end-April 2010.
Source: Nomura, based on Banks Shareholdings Purchase Corp and BOJ data

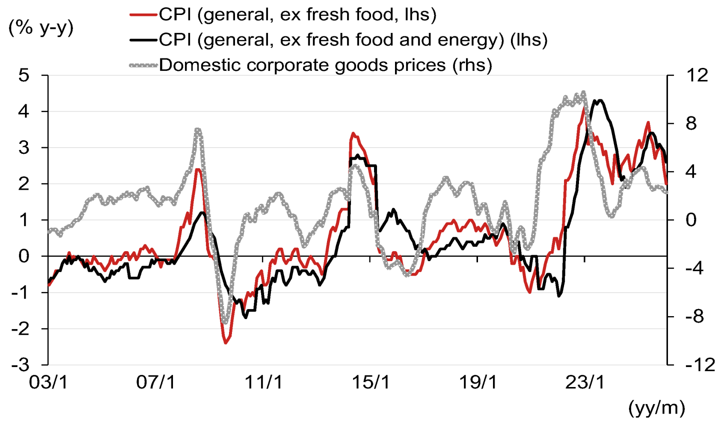
Fig. 43: Growth in nominal GDP

Seasonally adjusted, annualized



Source: Cabinet Office, Nomura

Fig. 44: Growth in CPI and domestic corporate goods price index



Note: For readings for January 2020 onward, year used for weighting calculations updated from 2018 to 2019 in accordance with update to weights for Japan's corporate goods price index using chain-weighted index formula.
Source: Nomura, based on Ministry of Internal Affairs and Communications and BOJ data

Appendix A-1

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